

**BEFORE THE
FEDERAL MARITIME COMMISSION**

	)	
GLOBAL LINK LOGISTICS, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	Docket No. 13-07
	)	
HAPAG-LLOYD AG,	)	
	)	
Respondent.	)	
	)	

**RESPONDENT’S REPLY TO GLOBAL LINK LOGISTICS, INC.’S
OPPOSITION TO MOTION TO DISMISS**

Complainant Global Link Logistics, Inc. (“Global Link”) has filed an Opposition to Respondent Hapag-Lloyd AG’s (“Hapag”) Motion to Dismiss (“Motion”) that largely ignores, and thus concedes, the legal basis for dismissal in this case. Rather than confront the substance of Hapag’s Motion and the defects in the Complaint head-on, Complainant falls back on straw man arguments, jurisdictional generalities, and assertions that demonstrate misapprehensions about the relevant pleading standard and the current scope of the Shipping Act.

Global Link in large measure misconstrues and mischaracterizes the Motion. It asserts that the Motion is premised on a lack of subject matter jurisdiction, and in response describes at length the Commission’s obviously broad authority to enforce the Shipping Act. Opp. at 6-12. Global Link continues in this vein for some while – inventing straw man arguments, ascribing them to Hapag, and assailing them. Hapag has never expressed a view that section 8(c) of the Shipping Act (46 USC § 40502(f)) or any arbitration clause divests the Commission of jurisdiction over properly-pled Shipping Act claims, yet Global Link devotes nearly half its

submission to refuting those points. We can only view this as a diversion, drawing attention away from the real crux of the Motion to Dismiss.

The actual basis for the Motion to Dismiss is that Global Link has failed to state a claim for which relief can be granted. That is, Global Link failed to plead the facts needed to make out each purported violation of the Shipping Act. Hapag is not arguing that the Presiding Officer lacks jurisdiction over properly pled Shipping Act claims. Quite the opposite, Hapag has asked the Presiding Officer to scrutinize each specific count in the Complaint closely, identify the elements statutorily needed to make out a violation, and verify our conclusion that the facts pled by Global Link are not sufficient to satisfy the elements of any cause of action under the statutes cited.

As discussed further *infra*, there is a marked divergence in how the parties interpret the statutes at issue.¹ Under Global Link's view, the Commission's powers over service contract rates and practices are should be read expansively, functionally akin to the pre-OSRA 1984 Act. Global Link reaches that legal posture by disregarding key words and phrases of the statute (such as "retaliate" and "receiving, handling, storing or delivering property"),² ignoring Commission precedent outlining elements of these offenses, and overlooking OSRA and its legislative history unambiguously constricting the statutory prohibitions applicable to service contracts. Therefore, disposition of the Motion requires a granular examination of the elements of each claim and the

¹ As with any motion to dismiss, all well-pleaded factual allegations in the complaint are treated as if true for the purpose of the Motion. However, Hapag-Lloyd reserves all rights to contest those facts at an appropriate juncture as self-serving misrepresentations, and to pursue its counterclaims that, *inter alia*, Global Link in fact has engaged in unfair and deceptive scheme to avoid applicable tariff and contract rates, damaging Hapag-Lloyd and other affected parties.

² See, e.g., Opp. at 11 ("Specifically, the Complaint alleges that Hapag violated 46 U.S.C. § 41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices, Section 41104(3) by resorting to unfair or unjustly discriminatory methods, and Section 41104(10) by its unreasonable refusal to deal or negotiate.") This creative rewriting of the statutes would restore FMC authority back to its pre-1998 breadth.

related facts alleged—not the Complainant’s generalities about the breadth or importance of FMC jurisdiction.

I. Global Link Misconstrues the Relevant Pleading Standard

While the Complainant acknowledges that the relevant pleading standard in this case is supplied by the Federal Rules of Civil Procedure, as interpreted by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009), Complainant appears to misconstrue these authorities as requiring an outdated mode of notice pleading. See Opp. at 14-16. Specifically, Complainant attempts to water down the relevant pleading standard by stating the “complaint need *only* give the defendant fair notice of the claim and the grounds upon which it rests,” see Opp. at 16 (emphasis added), and thus dismissal is permitted only “if ‘it appears beyond doubt that the plaintiff[s] can prove not set of facts in support of [their] claim.’” Opp. at 15 (citing *Fitzer v. Security Dynamics Technologies, Inc.*, 119 F. Supp. 2d. 12, 17 (D.Mass. 2000)). This is an interpretation of the pleading standard in Fed. R. Civ. P. 8(a) that was articulated in *Conley v. Gibson*, 355 U.S. 41 (1957). However, the U.S. Supreme Court has since made clear that “*Twombly* retired the *Conley* no-set-of-facts test.” *Iqbal*, 556 U.S. at 670.

To be clear, under *Twombly* and *Iqbal*, Global Link’s Complaint cannot survive a motion to dismiss for failure to state a claim if it does not contain sufficient factual matter to meet “the basic requirement that the facts plausibly establish *each required element* for each legal claim.” *Castillo v. Ocwen Loan Servicing, L.L.C.*, No. 13-50195, 2013 WL 4840494, at *2 (5th Cir. 2013) (citing *Ashcroft v. Iqbal*, 556 U.S. at 682–83) (emphasis added). As discussed below, with regard to each claim asserted in the Complaint, Global Link has failed to allege facts that, if true, would establish one or more required elements. Complainant’s Opposition provides no justification for these omissions and, therefore, dismissal is appropriate.

II. Global Link Fails to State a Claim for Unreasonable Refusal to Deal

As Hapag set forth in its Motion, Section 41104(10) does not entitle Global Link to a contract with Hapag, let alone a contract on “specific terms.” Mot. at 5 (citing *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2002 WL 33836158 (FMC: Served Jun. 28, 2002)). Rather, Section 41104(10) requires that carriers (1) “refrain from ‘shutting out’ a person,” (2) “for reasons having no relation to legitimate transportation-related factors.” *Id.* In its Opposition, Complainant does not dispute, and thus concedes, this reading of Section 41104(10). *Nat’l Sec. Counselors v. C.I.A.*, 898 F. Supp. 2d. 233, 268 (D.D.C. 2012) (“[T]he Court may treat the plaintiff’s failure to oppose the defendant’s ... arguments as a decision to concede those arguments.”). Moreover, Complainant concedes that Hapag was actively dealing with Global Link (under a Service Contract to which Global Link agreed) during the relevant period. See Compl. at § IV. ¶¶ A-GG. As a matter of law, therefore, Complainant has not stated a claim for refusal to deal under Section 41104(10). This point appears to escape Complainant, however, because it erroneously equates a refusal to “negotiate in regard to the rates [Hapag] was charging under its Service Contract” with a *per se* refusal to deal. See Compl. at § IV. ¶ QQ. See also Opp. at 20. Even if we assume Complainant’s allegation is true “that Hapag time and time again refused to negotiate rates” under the Service Contract then in effect, the Commission has made clear that a refusal to provide “specific terms” in a contract does not constitute a “refusal to deal.” See Opp. at 20; see also *New Orleans Stevedoring Company*, 2002 WL 33836158, at *5-6 (affirming the ALJ’s initial decision). On this basis alone, the Complainant’s claim under Section 41104 (10) should be dismissed.

Dismissal of Complainant’s Section 41104 (10) claim is also warranted because Global Link has failed to identify any facts in the Complaint that, if true, would satisfy the second element of Section 41104 (10)—that the purported refusal to deal was “for reasons having no

relation to legitimate transportation-related factors.” *Id.* at *5. *See also Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 958 (D.C. Cir. 1988); *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R 886 (1993); *Docking and Lease Agreement by and between City of Portland, Main and Scotia Prince Cruises, Ltd.*, No. 04-10, 2004 WL 1895827, at *3 (FMC: Served Aug. 23, 2004). The Complainant acknowledges the argument in Hapag’s Motion that the Complaint contains no allegations of fact to support this second element. Opp. at 21. In its Opposition, however, Global Link does not identify any allegations in the Complaint that it believes evidence the required absence of “legitimate transportation-related factors.” *Id.* Instead, the Opposition sidesteps the issue and makes the irrelevant point that cases like *Seacon Terminal Inc. v. Port of Seattle*, 26 S.R.R. 886 (1993) were decided “after ‘an extensive discovery process.’” *Id.*

Hapag does not deny that “[r]efusals to deal or negotiate are factually driven and determined on a case-by-case basis.” Opp. at 22 (quoting *Canaveral Port Auth. – Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or negotiate*, 29 S.R.R. 1436, 1449 (2003)). However, while this point may be relevant in the context of a premature motion for summary judgment, it has no bearing on a motion to dismiss for failure to state a claim. The question here is whether Global Link has satisfied the threshold pleading requirement of alleging facts that, if true, would satisfy each element of the cause of action. *See Twombly*, 550 U.S. at 570. The Complaint’s omission of such facts with regard to both elements of Section 41104 (10) constitutes a failure to state a claim and, therefore, dismissal is appropriate.

III. Global Link Fails To State a Claim for Retaliation Under Section 41104(3)

Complainant’s Opposition does not refute, and thus concedes, the fact highlighted in Hapag’s Motion that, “to maintain a claim under Section 41104(3), a plaintiff must allege sufficient facts that, if proven true, would demonstrate the carrier actually ‘retaliate[d]’ or ‘resort[ed] to other unfair or unjustly discriminatory methods *because* the [Complainant] . . .

patronized another carrier, or . . . filed a complaint, or for any other reason.” Mot. at 9 (citing 46 U.S.C. § 41104(3); *DSW Int’l, Inc. v. Commw. Shipping, Inc.*, 2011 WL 7144019, *13 (FMC: Served Mar. 29, 2011)). As stated in Hapag’s Motion, the Complaint “does not allege a single fact that suggests Hapag retaliated against Global Link.” Mot. at 9.

As with its Section 41104(10) claim, Complainant’s Opposition simply ignores this fatal flaw in the Complaint. First, rather than identify allegations in the Complaint that, if true, would support a finding of retaliation, Complainant simply restates that this “is a fact driven inquiry.” Opp. at 23. Again, Hapag does not dispute the fact that, when adjudicated on its merits, a properly pled Section 41104(10) claim is “fact driven.” However, this observation has no bearing on Global Link’s failure to satisfy the relevant pleading standard.

Second, Complainant falls back on its attempt to recast the Section 41104(10) cause of action as a general prohibition against “discriminatory practices” regardless of whether they are retaliatory in nature. See Opp. at 23; Compl. at § IV. ¶¶ RR-TT. Tellingly, Complainant does not address the contrary authority, cited by Hapag, in *California Shipping Line, Inc. v. Yangming Marine Transp.*, 25 S.R.R. 1213, 1230 (1990) (claims under this section apply “solely to retaliatory acts of a carrier against a shipper who has sought the services of another carrier, including retaliatory practices designed to stifle outside competition”). Mot. at 10. Rather, Complainant simply refers to its claim as one for “unfair or unjustly discriminatory practices.” Opp. at 23.

Nor does Complainant refute Hapag’s observation that, in pleading facts describing discrimination, as opposed to retaliation, Complainant is erroneously pleading a violation of the Shipping Act of 1984’s now-abolished nondiscrimination provisions in the former Sections 10(b)(10) and (12). See Mot. at 10. The effect of Global Link’s failure to address Hapag’s arguments with regard to the Complaint’s pleading defects and the proper scope and interpretation

of the Shipping Act is to concede them. *See Shankar v. ACS–GSI*, 258 Fed. Appx. 344, 345 (D.C. Cir. 2007). *See also Buggs v. Powell*, 293 F. Supp. 2d 135, 141 (D.D.C. 2003) (“when a plaintiff files an opposition to a dispositive motion and addresses only certain arguments raised by the defendant, a court may treat those arguments that the plaintiff failed to address as conceded.”). Accordingly, Complainant’s Section 41104(3) claim must be dismissed for failure to state a claim.

IV. Global Link Fails To State a Claim Under Section 41102(c) for “Entering Into A Service Contract That Does Not Comport With The Shipping Act’s Definition Of A Service Contract.”

Global Link continues to argue that the service contract at issue does not comport with the Shipping Act’s definition of “service contract.” The Complaint pleads only two factual allegations in support of the purported violation:

G. In early May of 2012, Global Link and Hapag entered into a new Service Contract. Although the Service Contract specified certain rates, the Contract expressly afforded Hapag the option to increase those rates at its discretion. Thus, if at any time during the life of the Contract, Hapag implemented a General Rate Increase (GRI) or a Revenue Recovery Increase (RRI) in its tariff, Global Link’s rates were automatically increased by that amount. *See* Service Contract, Hapag Boiler Plate, Term 6. Such increases did not require the consent of Global Link.

H. The Service Contract also allowed Hapag to increase assessorial charges by publishing them in its tariff during the life of the Contract. *id.* Such charges automatically went into effect the day they were published. These increases also did not require Global Link’s consent.

See Compl. at § IV. ¶¶ G-H.

This claim must fail, as the facts pled do not describe a violation of the Act. Rather, the allegations in Paragraphs G and H only confirm that Hapag and Global Link had agreed on a contractual arrangement that is ubiquitous in the industry and expressly authorized by the Commission’s rules, *i.e.*, cross-referencing tariff charges. Global Link, in its Opposition, asserts that it is immaterial to its claim that the practice in question is expressly permitted by FMC rules. Opp. at 19. However, given that the Commission has already closely examined this practice of

cross-referencing and found that it does not offend the Act's requirements, Global Link cannot reasonably claim to have pled a viable claim otherwise.

In Docket 98-30, *Service Contracts Subject to the Shipping Act of 1984 – Proposed Rule*, 63 Fed. Reg. 71062,71006 (December 23, 1998), the Commission explained how and why cross-referencing tariff rules and charges is permitted:

Cross-referencing tariffs

Presently, most filed service contracts contain re-occurring terms common to all of a carrier's or conference's service contracts (including matters such as free time and demurrage, bunkering rates, currency matters, etc.) the complete text of which would be very cumbersome for the carrier party to file with the service contract. Therefore, service contracts almost always make cross-reference to terms contained in that carrier's or conference's tariff or an essential terms publication.

The Commission recognizes that it was Congress' intent, by lifting the requirement that tariffs be filed with the Commission, to allow parties to service contracts more freedom and flexibility in their commercial arrangements. The proposed rule, § 530.9(c) (2), thus permits filed service contracts to refer to terms outside the four corners of the filed service contract, but only if they are contained in the carrier's or conference's tariff publication.

After extensive industry comment in that docket, the Commission in the Interim Final Rule reaffirmed this reasoning, and the rule was further broadened to allow cross-referencing to a “publication widely available to the public and well known within the industry.” 64 Fed. Reg. 11186, 11196.

In light of the fact that Global Link's factual averments do not provide a basis for a finding of a violation of the statute that it identified, this claim should be dismissed.

Global Link also continues to assert a similar claim that it entered into an “illusory” contract with Hapag, because the contract allegedly lacks a “defined service level” as that term is used in 46 U.S.C. § 40102(20). *See Opp.* at 16. Here again, the facts alleged in the Complaint are not sufficient to make out a violation. In fact, the Complaint itself describes in detail a clearly-defined service level for the contract at issue:

I. The Service Contract contained a liquidated damages provision, providing that if Hapag failed to fulfill its service commitment, the MQC would be reduced by up to 10% with Hapag having no further obligation to Global Link. *id.* at Term 11.2. If Hapag failed to fulfill its service commitment by in excess of 10%, Hapag incurred no monetary penalty, but would provide a credit of \$50 per TEU on shipments from Global Link up to 90% of the MQC.

See Compl. at § IV. ¶ I.

In Paragraphs J and KK of the Complaint, Global Link makes clear that the actual basis for its claim is not that the service commitment is undefined, but rather that the financial penalty for shipper breach was higher than the penalty for carrier breach. Such a disparity does not, however, contravene the definitional language in 46 U.S.C. § 40102(20). Moreover, as described further below, nothing in the Act authorizes the Commission to impose reasonableness or fairness standards on the levels of commercial terms negotiated by parties to individual service contracts. This failing, combined with the consistent refusal to plead facts satisfying the “receiving, handling, storing and delivering” prong of 41102(c), warrants dismissal of this claim.

Global Link seems to believe that its novel arguments that its contract was “illusory” or unenforceable entitles it to a windfall – i.e., allowing Global Link to access service contract rates without being held to minimum quantity commitments. *Opp.* at 16. This view is mistaken. The Commission has made clear that if cargo moves under a contract found to be “illusory,” the cargo must be re-rated at the applicable tariff rate:

The limitation of section 13(f)(1) [barring undercharge collections] was not intended to allow shippers and carriers to use service contracts as an “unfair or unjust means or device” to avoid the application of the “otherwise applicable rate” contrary to other provisions in the Act. If there are no provisions which anticipate the shipper’s failure to meet the minimum cargo requirements of the service contract and the cargo is not subject to re-rating, the contract would appear to be illusory. Allowing the parties to take advantage of an illusory contract would be contrary to the prohibitions of section 10 and the intent of the Act.

Docket 98-30, *Service Contracts Subject to the Shipping Act of 1984 – Interim Final Rule*, 63 Fed. Reg. 11186, 11204 (March 8, 1999). Particularly under these circumstances, it is difficult to

grasp what Global Link seeks to accomplish by proclaiming that it signed and moved cargo under service contracts that it believed to be illusory and unenforceable, thus deceiving carriers such as Hapag into providing reduced rates to which Global Link was not legally entitled.

V. Global Link Fails To State a Claim for Unreasonable Practices Under Section 41102(c) for Alleged Failures to Reduce Service Contract Rates or Minimum Quantity Commitment

In the Opposition, Global Link steadfastly refuses to acknowledge that there are any limits on the Commission's power to regulate the reasonableness of carrier service contract practices. To that end, Global Link appears to advance a wholly new and far broader statutory interpretation of Section 41102(c). Opp. at 17-20. Under the interpretation Complainant has adopted, Section 41102(c) would for the first time apply to service contracting, and would no longer require the pleading of facts showing "practices in connection with the receiving, handling, storing and delivering of property." *Id.*

Complainant's interpretation is not tethered in any way to the text of the Shipping Act or to Commission caselaw. In the Opposition, Complainant fails to identify a single case in which the Commission has applied this section to the type of conduct described at pages 16 and 17 of the Opposition, *i.e.*, the setting of service contract rates, minimum quantity commitments, negotiations of service contract terms, remedies for contract non- performance, and cross-referencing of tariff surcharges.³

³ In its Opposition, Global Link seeks to reengineer some of the facts that are alleged in its complaint. For example, in Paragraphs L-T, X and Z of the Complaint, Global Link makes it clear that its failure to tender cargo to Hapag was because Global Link was unhappy with the rate levels in the contract. Although it mentions nonspecific "administrative errors," nowhere does the Complaint allege that Hapag-Lloyd failed or refused to carry any shipments tendered to it. In the Opposition, however, Global Link argues that by reducing the amount of space specifically allocated to it, Hapag-Lloyd was in some way "eliminating any opportunity for Global Link to

The Section 41102(c) standard (and that of its predecessors, Sections 10(d)(1) and the former Section 17 of the Shipping Act, 1916) has been applied over several decades. In almost all instances, the statute has been understood to regulate port and terminal practices, as the phrase “receiving, handling, storing and delivering of property” indicates. Indeed, except for the cases addressing freight forwarding described below, all the cases relied on by Global Link for this violation involved review of port and terminal charges and practices of some sort. Opp. at 16-20.

For example, the primary case on which Global Link relies—*California v. United States*, 320 U.S. 577, 584 (1944)—dealt with the applicability of this section to marine terminals’ wharf demurrage charges, and has nothing to do with FMC-regulation of modern carrier service contracts. Complainant erroneously cites (see Opp. at 19) *Petchem, Inc. v. Canaveral Port Authority*, 23 S.R.R. 974, 990 (1986), aff’d, 853 F.2d 958 (D.C. Cir. 1988) for the principle that “Section 10(d)(1) contemplated regulatory authority over actions that had a “discernible effect” on the commercial relationship between shippers and carriers.” This is clearly wrong, as *Petchem* is a leading case dealing with the standards for evaluating marine terminal exclusive dealings, and did not in any way address the regulation of shipper-carrier contracts. Similarly, *Puerto Rico Ports Authority v. FMC*, 919 F.2d. 799 (1st. Cir. 1990) provides none of the support that Global Link claims for its position. That case addressed the extent to which the Commission’s marine terminal regulatory authority under Section 10(d)(1) could be applied to the Puerto Rico Ports Authority, and thus affords no backing for Global Link’s unprecedented legal theory.

ship the MQC.” Opp. at 17. This is not at all consistent with the facts actually alleged in the Complaint. In Paragraphs L-T and W of the Complaint, it is clear that Hapag-Lloyd only proposed lowering the allocation after Global Link had declined to ship cargo due to dissatisfaction with rate levels, and Hapag-Lloyd offered to reassess the space allocation if there were changes in those conditions.

Complainant in its Opposition invokes *National Customs Brokers & Forwarders Ass'n of America, Inc. v. United States*, 883 F.2d 93 (D.C. Cir. 1989) to support its argument that Complainant need not plead or satisfy the “receiving, handling, storing and delivering of property” prong of the statute. That case, however, supports no such conclusion. Rather, the Court found that the former Section 17 provided authority for the regulation of forwarders despite their lack of physical cargo handling at terminals, because (per *American Union Transport*, 327 U.S. 437 (1946)) forwarding activities are “intimately connected” with “the receiving, handling, storing or delivering of property.” *Id.* at 99. These conclusions have nothing to do with the case at bar, and do nothing to alter the conclusion that the Complaint fails to satisfy the relevant pleading standard by foregoing any facts showing disputed practices in connection with “receiving, handling, storing and delivering of property.”

Complainant likely is trying to cultivate this new and distorted reading of Section 41102(c) because the statute that would properly have applied in its case was repealed by Congress in 1998. Section 10(b), pre-1998, used to state: “Common carriers. No common carrier, either alone or in conjunction with any other person, directly or indirectly, may (12) subject any particular person, locality, or description of traffic to an unreasonable refusal to deal or any undue or unreasonable prejudice or disadvantage in any respect whatsoever.”

Section 41102(c) clearly cannot be repurposed to take the place of the old Section 10(b)(12) to authorize the Commission to begin re-regulating the reasonableness of individual carrier contracting decisions, terms and practices for service pursuant to a service contract. Beyond the plain language of the law itself, the legislative history of OSRA commands unambiguously that the FMC no longer may restrict an individual common carrier’s alleged discriminatory, preferential, or advantageous treatment of ocean transportation intermediaries in

service contracts. On Tuesday, April 21, 1998, Senator Kay Bailey Hutchison, the lead OSRA sponsor, took to the Senate Floor and detailed exactly how OSRA changed the regulatory scheme for service contracts, allowing carriers more market flexibility. Senator Hutchison stated:

Mr. President, for the record, I now want to explain some of the key provisions of S. 414.

The most significant benefit of S. 414 is that it will provide shippers and common carriers with greater choice and flexibility in entering into contractual relationships for ocean transportation and intermodal services. It accomplishes this through seven specific changes to the Shipping Act of 1984. It allows multiple shippers to be parties to the same service contract. It allows service contracts to specify either a percentage or quantity of the shipper's cargo subject to the service contract. It prohibits multiple-ocean common carrier cartels from restricting cartel members from contracting with shippers of their choice independent of the cartel. It allows service contract origin and destination geographic areas, rates, service commitments, and liquidated damages to remain confidential. **It eliminates the requirement that similarly situated shippers be given the same service contract rates and service conditions. It eliminates the current restrictions on individual common carriers engaging in discriminatory, preferential, or advantageous treatment of shippers and ocean transportation intermediaries in service contracts** (while retaining those restrictions for groups of common carriers and strengthening prohibitions against refusals to deal or negotiate by individual common carriers). It allows groups of ocean common carriers to jointly negotiate inland transportation rates, subject to the antitrust laws and consistent with the purposes of the 1984 Act.

144 Cong. Rec. S3306, Ocean Shipping Reform Act Of 1997⁴ (emphasis supplied).

Complainant further argues that “if the Commission's sole authority in regard to service contracts was so limited, the Commission would have so noted in the *Cargo One* and *Anchor Shipping* orders.” Opp. at 13.⁵ This argument has no merit. *Cargo One* was adjudicated under the pre-OSRA Shipping Act, thus the impact of the 1998 Act was in no way addressed.

⁴ With regard to Senator Hutchison's reference to unreasonable refusals to deal, OSRA eliminated the requirement that complainants plead that a “particular person, locality, or description of traffic” was subjected to the refusal. This amendment does not impact the instant case.

⁵ *Cargo One v. COSCO Container Lines Co. Ltd.*, 28 S.R.R. 1635 (2000); *Anchor Shipping Co. v. Aliança Navegacao e Logistica Ltd a.*, 30 S.R.R. 991 (2006).

Moreover, the Complainant in that case actually pled facts connecting its 10(d)(1) claim on the receiving of particular containers tendered to the carrier. Global Link makes no such effort to plead facts showing “receiving, handling, storing and delivering cargo.” In *Anchor Shipping*, the Commission did not analyze the merits of the claims or applicability of the sixteen Shipping Act prohibitions that were invoked at all. Rather, it just examined the scope of the deference to be afforded to an arbitral award, and remanded the actual statutory claims down to the ALJ for consideration.

It is clear that Global Link is advancing a radically broadened and impermissible interpretation of Section 41102(c) as the basis for its case. Accepting this new interpretation would effect an extraordinary re-regulation of service contracting, with far-reaching significance not just for Respondent but for the industry as a whole. We urge the Presiding Officer to reject Complainant’s approach, and dismiss the Complaint for failing to allege facts that satisfy the threshold test for a properly pled claim under Section 41102(c).

III CONCLUSION

For the foregoing failures to state a claim, we respectfully request that the Presiding Officer dismiss each and every count for failure to state a claim for which relief can be granted. The application of Section 40502(f) is particularly appropriate here – not to divest the Commission of jurisdiction or require deference to an arbitrator, but rather to guide the parties to the proper forum for their contract dispute when it is shown that Global Link has pled no viable violations of the Shipping Act.⁶

⁶ Complainant’s argument, Opp. at 9-15, while not responsive to our motion, appears to foreshadow that Complainants will resist arbitration on a complex theory that the Shipping Act, this docket, or principles of primary jurisdiction preclude Respondents from pursuing a breach of contract claim before the Society of Marine Arbitrators. Accordingly, we respectfully request

Accordingly, for the foregoing reasons, Respondents respectfully request that the Complaint be dismissed in full, and this proceeding be discontinued.

Respectfully submitted,



Matthew J. Thomas
Jeffrey Orenstein
Reed Smith LLP
1301 K Street, N.W.
Suite 1100 – East Tower
Washington, D.C. 20005
(202) 414-9257
mjthomas@reedsmith.com

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that the Presiding Officer make clear that Hapag-Lloyd is in no way barred from pursuing its right to arbitration for its breach of contract claim pursuant to Section 40502(f).

CERTIFICATE OF SERVICE

I hereby certify that I caused a true and correct copy of the foregoing *Respondent's Reply To Global Link Logistics, Inc.'s Opposition To Motion To Dismiss* to be served November 8, 2013, via e-mail upon the following:

David Street
Brendan Collins
GKG LAW, PC
1054 Thirty-First Street, N.W., Suite 200
Washington, D.C. 20007
bcollins@gkglaw.com



Matthew J. Thomas
Reed Smith LLP
1301 K Street, N.W.
Suite 1100 – East Tower
Washington, D.C. 20005
(202) 414-9257
mjthomas@reedsmith.com